Ans. Measures taken towards different segments of the finncial sector reforms since early 1990s have given visible results – in terms of market features and depth the Indian equity market today ranks among the best in the world; the government securities market has also evolved over the years and expanded. In contrast, the corporate bond market has not shown such a synergy and has remained a laggard - both in terms of market participation and structure. Emerging economies like Mexico, Russia, Poland, Brazil and Indonesia have more vibrant corporate bond markets in comparision to India.

Experts, together with the *Economic Survey 2010-11*, have cited several reasons for the under-development of the corporate bond market in India:

(i) Banks loans being the popular and predominant mode of raising long-term capital;

(ii) Participation of the FIIs is limited ;

(iii) Due of lack of investor confidence, pensions and insurance companies as well as household are limited participants; and

(iv) Crowding out of fund/investible capital by Government bonds.

Non-bank finance companies are the main issuers and very small amounts of finance are raised by companies/corporates directly.The corporate bond market as a result, is only about 14 per cent of the total bond market, while on the other hand, liquidity in the market and investment in the infrastructure sector remain constrained. With the intervention of the *Patil Committee* recommendations, the corporate bond market is slowly evolving. With bank finance drying up for long-term infrastructure projects in view of asset liability problems (faced by banking system), further development of a deep and vibrant corporate bond market is need of the hour (also suggested by the *World Bank*, recently).

Following steps may be taken for the promotion and development of corporate bond market in India:

(i) Clearing/settlement on DvP (Delivery versus Payment) basis; market making with primary dealers; enabling Credit Default Swap; guaranteeing of corporate bonds by banks; and relaxing norms on short selling of Government bonds (all fall under RBI’s preview).